6-1b Reporting Inventory

A **physical inventory** or *count of inventory* should be taken near year-end to make sure that the quantity of inventory reported in the financial statements is accurate. After the quantity of inventory on hand is determined, the cost of the inventory is assigned for reporting in the financial statements. Most companies assign costs to inventory using one of three inventory cost flow assumptions. If a physical count is not possible or inventory records are not available, the inventory cost may be estimated as described in the appendix at the end of this chapter.

Link to Best Buy

Best Buy conducts ongoing physical counts of inventory throughout the year as a basis for monitoring and predicting loss adjustments for theft.

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